

**BEFORE THE PUBLIC UTILITIES COMMISSION
OF THE STATE OF CALIFORNIA**

Order Instituting Rulemaking to
Establish Energization Timelines.

Rulemaking 24-01-018
(Filed January 25, 2024)

**RESPONSE OF THE VEHICLE-GRID INTEGRATION COUNCIL TO MOTION OF
ENPHASE ENERGY, INC. TO AMEND SCOPING RULING AND SCHEDULE TO
ADDRESS OPTIONAL FLEXIBLE CONNECTION AGREEMENTS AND THE
UNDERWRITERS' LABORATORY 3141 STANDARD FOR POWER CONTROL
SYSTEMS IN INVESTOR-OWNED UTILITIES' ENERGIZATION RULES**

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Date: September 26, 2024

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In accordance with the Rule 11.1 of the Rules of Practice and Procedure of the California Public Utilities Commission ("Commission"), the Vehicle-Grid Integration Council ("VGIC") hereby submits this response to the *Motion of Enphase Energy, Inc. to Amend Scoping Ruling and Schedule to Address Optional Flexible Connection Agreements ("FCA") and the Underwriters' Laboratory ("UL") 3141 Standard for Power Control Systems ("PCS") in Investor-owned Utilities' ("IOU") Energization Rules* ("Motion") filed by Enphase Energy on September 11, 2024.

I. INTRODUCTION.

It is widely acknowledged that meeting California's climate goals will require massive electrification and that the electric grid has not yet been built to accommodate this extra load. The Commission is working to support the build-out of additional distribution capacity and bring additional energy resources online. However, bringing all these resources online will take significant time. The Phase 1 decision in this proceeding has set energization timelines for the investor-owned utilities ("IOUs") to meet, but the maximum upstream capacity timelines set by

the decision are still incredibly long, with the timeline for a new/upgraded circuit being almost two years.¹ Given the length of these timelines, it is becoming increasingly clear that interim measures are needed to allow for electrification ahead of grid upgrades.

VGIC has advocated before the Commission since 2020 for leveraging flexible service connection technologies, including Power Control Systems (“PCS”), alternatively referred to by the Commission as Automated Load Management (“ALM”) in R.18-12-006, as essential tools for enabling customers to energize their sites in the face of delays. The Smart Inverter Operationalization Working Group in the High DER Proceeding (R.21-06-017) has identified increasing operational flexibility of distributed energy resources (“DERs”) and flexible loads on the distribution system as a high priority for California.² This includes the development of flexible service connections and Limited Load Profiles to enable additional load to come online and be served cost-effectively. However, policy and rule changes are needed to enable these flexible service connections.

Therefore, VGIC supports Enphase’s Motion and agrees that the Commission should leverage Flexible Connection Agreements (“FCA”) enabled by PCS/ALM. Importantly, we believe that the issues outlined by Enphase must be scoped into a Commission proceeding immediately. As discussed by VGIC previously, the “Commission should seize the present opportunity to expeditiously adopt the necessary elements of a flexible service connection framework.”³ In the four years that VGIC has witnessed this issue be passed between several proceedings, including the DRIVE OIR (R.18-12-006), High DER OIR (R.21-06-017), TE OIR

¹ D.24-09-020 at 47.

² *Smart Inverter Operationalization (SIO) Working Group Report Business Cases and Use Cases*, February 1, 2024, at p. 115. <https://docs.cpuc.ca.gov/PublishedDocs/Efile/G000/M532/K694/532694061.PDF>

³ VGIC Opening Comments on the *Proposed Decision Establishing Target Energization Time Periods and Procedure for Customers to Report Energization Delays*, August 29, 2024, at p. 6.

(R.23-12-008), and the instant Energization Timelines (R.24-01-018), the situation faced by customers and installers in the field has become increasingly dire, demanding timely action by the Commission. California's imperative to electrify and decarbonize can no longer afford to suffer further consternation from the Commission, which appears to be awaiting an ideal procedural path to address this issue rather than taking action to address the critical bottlenecks to widespread electrification. **Critically, electrification projects leveraging PCS/ALM, by definition, add off-peak load, making PCS/ALM one of the only tools the Commission has to curb the outsized ratepayer impacts already felt by millions of Californians.** Enphase's Motion includes a valuable framework for evaluating and adopting rule changes needed to enable flexible service connections. It must be adopted for the Commission to make meaningful progress toward supporting electrification while reducing the cost burden of all ratepayers. VGIC offers additional comments on our support below.

II. VGIC SUPPORTS ENPHASE'S MOTION TO INCLUDE POWER CONTROL SYSTEMS AND FLEXIBLE CONNECTION AGREEMENTS IN TRACK 2 OF THIS PROCEEDING.

Enphase's motion requests the modification of Phase 2 Issue 3 to add explicit considerations for flexible connection agreements ("FCAs") and Limited Load Profiles ("LLPs"), asking if the utilities should amend their energization rules to allow customers to utilize flexible connection agreements that use UL 3141-certified power control systems to implement a Limited Load Profile. VGIC generally supports this modification to the scoping question, as it is important to explicitly consider energization rule modifications to enable the use of FCAs. However, we recommend that the Commission remove the specific reference to UL 3141 in the final scoping question, as it is premature to limit the PCS certification pathways currently. VGIC suggests the following language for Phase 2 Issue 3:

“Should additional actions beyond compliance with SB 410 and AB 50 be implemented to improve energization timelines, processes, or tariffs in Phase 2 of this proceeding, including ordering the utilities to amend their energization rules to allow customers to elect optional flexible connection agreements that use certified power control systems to implement a Limited Load Profile that avoids distribution upgrades, thus enabling rapid and cost effective project deployment and operations?” Currently, Pacific Gas and Electric (“PG&E”) and Southern California Edison (“SCE”) are conducting pilots for different types of flexible service connections, and VGIC is glad that the Phase 1 decision will require these utilities to report on their use of these pilots to quickly energize customers.⁴ However, the technology for widespread use is ready to be deployed in California. Enphase highlights that utilizing Power Control Systems (“PCS”) “is the industry standard for DER load management.”⁵ PCS systems have already been incorporated into Rule 21 to allow for export controls, and this use case has seen widespread adoption.⁶ While the UL 3141 standard to enable the full use of PCS for limiting imports is expected to be adopted next month, the Commission need not wait for this to begin enabling widespread flexible service connections. Expanding the scoping question to remove the specific reference to UL 3141 will also allow stakeholders to consider whether other certification pathways could be used to enable the development of LLPs.

VGIC believes the current barrier to deployment is a lack of clear regulatory focus on the topic. As discussed by the SIOGW Report, “The CPUC will need to initiate the development of one or more proceedings for firm and non-firm import limiting requirements, including

⁴ See D.24-09-020 Appendix B, Energization Target Reporting Template Requirements, questions 25 and 26.

⁵ Enphase Motion at p. 4.

⁶ Enphase Motion at p. 4.

determining any necessary changes to Rule 2, Rule 15, and Rule 16, as well as Rules 29 and 45 for EVs, plus potentially other Rules.”⁷ Development of these updated rules and tariffs will take time. The Rulings and workshops detailed in Enphase’s motion should begin as soon as possible, since significant utility and stakeholder engagement are required to develop these new rules. For example, the SIOWG met for two years to develop its report recommendations. The development of the Limited Generation Profiles, which creates a flexible export agreement, took 3.5 years to finalize. Important policy questions surround the utilities’ obligation to serve and other longstanding electric service paradigms may come up during PCS/ALM workshops and reports. Therefore, while PCS certification pathways are still being developed, standardized flexible service connections should be taken up in Phase 2 of this proceeding.

III. DEVELOPMENT OF FLEXIBLE SERVICE CONNECTIONS SHOULD BE TAKEN UP EXPEDITIOUSLY, NOT CONTINUOUSLY REFERRED ACROSS DIFFERENT REGULATORY VENUES.

VGIC continues to emphasize that the Commission should take up the development of standardized flexible service connections now. Enphase has submitted this motion to the instant proceeding after submitting a similar motion in the High DER proceeding (R.21-06-017) and receiving feedback that “Issues related to energization rules should be addressed in the energization proceeding.”⁸ Based on its interpretation of the Commission’s response to Enphase’s similar motion in the High DER proceeding, VGIC believes that discussing rule modification in this Energization Timelines proceeding is appropriate. Flexible service connections are a valuable tool for improving energization timelines, which is an important goal of Phase 2 of this proceeding.

⁷ *Smart Inverter Operationalization (SIO) Working Group Report Business Cases and Use Cases*, February 1, 2024, at p. 115. <https://docs.cpuc.ca.gov/PublishedDocs/Efile/G000/M532/K694/532694061.PDF>

⁸ *Administrative Law Judges’ Ruling Denying Enphase Motion*, R.21-06-017, June 21, 2024, at p. 1. <https://docs.cpuc.ca.gov/PublishedDocs/Efile/G000/M534/K105/534105698.PDF>

Importantly, the Commission must not further postpone addressing these issues by again stating that they must be taken up in a different regulatory venue. It is likely that the full development and implementation of different flexible capacity agreements, especially those that operate dynamically, will involve work and findings in both the High DER Proceeding and this instant proceeding. As stated by Enphase, when the Commission discusses energization rule modification, it will be important to incorporate items from the record of R.21-06-017 Track 3, including the SLOWG report.⁹ That record can then be used to develop the actual language for modifications to Rule 2, 15, 16, and 29/45. Ultimately, energization rule modifications will allow for the widespread adoption and use of flexible service connections.

VGIC fears the Commission is “missing the forest for the trees,” as it appears to seek procedural purity rather than addressing a critical, time-sensitive issue that remains one of the only tools available to address the affordability crisis. VGIC strongly recommends that the Commission take timely action on this issue.

IV. CONCLUSION.

VGIC appreciates the opportunity to provide this response to the motion. We look forward to further collaboration with the Commission and stakeholders on this initiative.

Respectfully submitted,

/s/ Zach Woogen

Zach Woogen

Interim Executive Director

VEHICLE-GRID INTEGRATION COUNCIL

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⁹ Enphase Motion at p. 8.

